Executive Summary

PowerCo churn

33%

of the net margin held by churning clients sits in the 10% the model flags as highest-risk

3x

churn rate of flagged clients: 32% vs. 9.7% on average

Recommended solution

- **Avoid across-the-board price cuts:** price is not what drives SME churn, so discounts for everyone would give away margin without fixing the problem.
- **Target retention with the churn model:** rank clients by churn risk and focus outreach on the top 10%, prioritising high-margin accounts.
- **Next steps:** pilot a targeted retention offer (e.g., proactive renewal outreach before contract end) on the top-risk list against a control group, and enrich the model with customer-service and competitor-offer data.

Situation

- PowerCo serves ~14,600 SME gas and electricity clients; **~1 in 10 churn within 3 months**, taking ~12% of total net margin with them.
- Leadership believed clients are price-sensitive and leaving for cheaper providers.

Complication

- **The data do not support price as the main driver:** off-peak prices fell for ~95% of clients in 2015, and price data alone predict churn barely better than a coin flip.
- **Churn is concentrated elsewhere:** newer clients (13.5% at 3 years' tenure vs. 7% at 6 years), certain sales channels (12% vs. 6%) and acquisition campaigns (13% vs. 6%).

Key question

- How can PowerCo identify at-risk SME clients early and retain the most valuable ones cost-effectively?

Source: PowerCo client and 2015 price data (14,606 SME clients); model results on a 25% hold-out sample.